DETERMINING FLOOD INSURANCE REQUIREMENTS

If the subject property is located in a Special Flood Hazard Area (SFHA), it is the policy of Flagstar Bank that it shall not make, increase, extend or renew any Designated Loan [1] unless a flood determination is obtained and the residential building(s) [2] or mobile home(s) [3] and any applicable personal property securing the loan is covered by flood insurance for the term of the loan.

In addition, for the purposes of this policy, all loan modifications shall be considered to be an increase or extension. Under no circumstances can an originator release a borrower from the mandatory flood insurance requirement.

FLOOD DETERMINATION

Flood determinations will be ordered on all loans, through the Bank's approved vendor (currently Core Logic). It is the policy of the Bank that it will not rely on a previous flood determination under any circumstances.

To meet FEMA requirements the flood certification should include the following information:

- Flood zone determination on a Standard Flood Hazard Determination Form (SFHDF)
- Community and panel number
- Date of the flood map
- Flood zone and status of community (NFIP participating or non-participating) https://www.fema.gov/cis/nation.html

Any flood zone beginning with an A or V is considered a Special Flood Hazard Area (SFHA).

FLOOD DETERMINATION ZONE DISCREPANCIES

The borrower or originator should contact the flood certification company to dispute any flood zone determination. The flood certification company should utilize an overlay of flood maps, combined with tax maps to ensure 100% accuracy on each determination when the findings are disputed. An elevation survey is not to be used to determine whether the borrower can be released from the flood insurance requirement. Instead, a valid Letter of Map Amendment (LOMA) or Revision/Change (LOMR/LOMC) must be issued by FEMA.

FLOOD INSURANCE REQUIREMENTS

- Sellers should take appropriate action to ensure borrowers are made aware of flood insurance requirements and provide to the borrower the Notice of Special Flood Hazards and Availability of Federal Disaster Assistance with the intent of notice being received or is actually received as soon as the Seller is aware the property is located in the SFHA or at least (10) ten days prior to closing.
- At a minimum, the notice must be provided to the borrower at least (3) three business days prior to closing, but only when doing so would be considered reasonable under the circumstances.
- Delegated customers must ensure that the notice is provided to the borrower a reasonable time before closing.

If it is determined that the property is located in a SFHA, the originator should then determine if the community in which the property is located participates in the National Flood Insurance Program (NFIP). If the property is located in a SFHA and in a participating community, federal flood insurance is available under NFIP.

Regardless of the community's NFIP participation, the originator is required to notify the borrower when the property is located in a SFHA.

NOTICE REQUIREMENTS/ DISCLOSURES

In the event that the subject property is located in a SFHA in a NFIP participating community, the originator must endeavor to deliver to the borrower 10 days before closing the *Notice to Borrower of Property in Special Flood Hazard Area*, Doc. #3214 or disclosure with required FEMA model language. This document discloses the following information:

- The Community Name as stated on the Standard Flood Hazard Determination Form (SFHDF).
- That the property securing the loan is located in a special flood hazard area.
- Whether the community in which the property is located participates in the NFIP.
- Whether federal disaster relief assistance will be available in the event of flooding.
- Availability of Private Flood Insurance Coverage.
- Escrow Requirement for Residential Loans.

Additionally, correspondents must provide all required flood disclosures to meet the state specific requirements for flood notification.

If it is determined that the property is located in a SFHA but in a non-participating community, NFIP flood insurance will not be available and it is our policy that it will not make, extend, renew or increase these types of loans. In addition, we will not accept or approve any loans secured by property located in a Coastal Barrier Resources Area (CBRA) or Otherwise Protected Area (OPA). However, the originator is still required to provide notification that includes the following:

- Notice to the borrower that the property is or will be located in a Special Flood Hazard Area.
- Notice to the borrower about the unavailability of Federal Disaster Relief Assistance. This notice states that the community is not participating in the NFIP and the property is not eligible for federal flood insurance. If the property is damaged by flooding in a federally declared disaster, federal disaster relief assistance will not be available if the community has been identified as a flood prone area for a year or longer.
- Borrower name and community name for which the flood map was issued.

EVIDENCE OF INSURANCE

Flood insurance must be in the form of the standard policy issued by members of the National Flood Insurance Program (NFIP), licensed property and casualty insurance companies that are authorized to participate in the NFIP Write-Your-Own program or private flood insurance providers and programs meeting the requirements outlined below.

We will accept private flood insurance if it meets the definition of a private flood insurance policy as defined in 42 USC 4012a(b)(7) and the corresponding regulation, contains the Compliance Aid [4] or the FHA Compliance Aid, “This policy meets the definition of private flood insurance contained in 24 CFR 203.16a(e) for FHA insured mortgages”. For all loans except FHA we will accept a private flood insurance policy if it meets Flagstar Bank’s discretionary acceptance as outlined in theFlagstar BankFlood Policy. The entire body/jacket of the private flood insurance policy must be provided for review.

The insurance company must be rated one of the below:

- A.M. Best Rating of Financial Strength in Best Insurance Reports as a B or better

- Demotech Hazard Insurance Financial Stability Rating of A or better
- Standard and Poor's Rating of Financial Strength of BBB or better

The flood insurance must be written on the correct policy form as defined by the National Flood Insurance Program.

EVIDENCE OF INSURANCE REQUIREMENTS

According to FEMA guidelines, there must be evidence of flood insurance at the loan closing; however, Flagstar Bank requires such evidence prior to the loan being consummated.
Acceptable evidence of flood insurance for policies issued by the National Flood Insurance Program includes:

- Declarations (dec) page, industry standard certificates of insurance from the insurance agent documenting that the mortgagor has purchased the requisite flood insurance, or an application and paid receipt. Quotes and binders are not acceptable.

Acceptable evidence of flood insurance documentation for policies issued by a Private Flood Insurance Provider includes:

- The declaration page and paid receipt if applicable or application and paid receipt.

Paid receipt- A closing disclosure cannot be used as a paid receipt for any policy type.

Industry standard certificates of insurance from the insurance agent that the mortgagor has purchased the requisite flood insurance must include all of the below:

- Policy form/type
- Policy term
- Policy number
- Insured's name and mailing address
- Property location
- Mortgagee name and address
- Coverage limits
- Deductible
- Annual Premium
- RCBAP must include number of units and the replacement cost (RCV) of the building
- Provider type: Private or National Flood Insurance Program (NFIP)

PURCHASE TRANSACTIONS

It is possible to transfer a flood policy on a purchase transaction from seller to buyer if at least 30 days are remaining on the policy at the time of closing/purchase. A copy of the seller's declaration page and general change endorsement or transfer agreement signed by all parties is required.

REFINANCE TRANSACTION

An existing policy may be used, provided that the policy has a minimum of 30 days remaining before expiration/renewal from the date of closing. If the policy has less than 30 days remaining from the time of closing, a copy of the renewal policy along with a 1 year paid receipt will be required prior to close.

For loans that are covered by a Master policy, the master policy must have a minimum of 15 days remaining before the expiration/renewal at closing.

Insurance must be effective no later than the consummation date, i.e. the date the borrower(s) sign(s) the note/security instrument except for purchase transactions in dry funding states (also known as "escrow states") where the consummation date is the date of disbursement by the escrow agent.

ESCROW REQUIREMENTS

As of 1/1/16, flood insurance must be included in the borrower's escrow account even if all other escrows have been waived, if required by this policy. If flood insurance coverage is included on a homeowner's policy, the entire policy premium will be required to be escrowed.

DEDUCTIBLES

Deductibles may not exceed $10,000 for 1 to 4-Family properties and $25,000 for the HOA's policy for Attached Condominiums and Attached Cooperatives. USDA/GRH requires a deductible not to exceed the greater of $1,000, 1% of the face amount of the policy, or the minimum deductible offered by the insurance carrier. MSHDA requires a maximum deductible of $5000. Deductibles cannot be equal to or exceed the amount of the insurable value of residential and non-residential buildings.

FLOOD INSURANCE COVERAGE REQUIREMENTS

For all designated loans, flood insurance coverage must meet the following coverage requirements. Lenders, while not required by statute, may choose to require insurance above these amounts after evaluating the risk to which the property is exposed.

For all Designated Loans, flood insurance is required on a property under FEMA guidelines. Per Flagstar's Flood Insurance Policy, the amount of insurance on a building located in a SFHA in a participating community is the lesser of:

- The maximum insurance available from the NFIP, which is currently $250,000 per dwelling;
- The unpaid principal balance (UPB) of all Flagstar loans plus all superior liens on the property;
- 100% of the insurable value of the improvements

The following options are available to determine the insurable value, or replacement cost of improvements:

1. Use the amount identified as the "replacement cost" as provided by the agent via the flood declaration page, application or industry standard certificate of insurance from the insurance agent documenting that the borrower has purchased the requisite flood insurance. If this is not available, then,
2. The replacement value as established for the hazard insurance policy using a current cost estimator including foundation and debris removal if applicable. Under no circumstances should the insurable value be based on the coverage amount used in a hazard insurance policy. If this is not available, then;
3. The replacement cost of the improvements from the appraisal. *This option is only available for manufactured homes if foundation is listed as included in the replacement cost new calculation.

Note: If the flood insurance replacement cost is 75% or less of the appraisal replacement cost, additional verification will be required.

1 TO 4-FAMILY PROPERTIES

Building coverage must be maintained in an amount at least equal to the lesser of:

- The maximum insurance available from the NFIP, which is currently $250,000 per dwelling;
- The unpaid principal balance (UPB) of all Flagstar loans plus superior liens on the property; or
- 100% of the replacement cost of the insurable value of the improvements.

Refer to the guidance below relating to coverage when there are multiple buildings on one parcel.

PUD PROPERTIES

The same flood insurance that is required for 1 to 4-family properties is required for an attached or detached individual PUD unit. A stand-alone flood insurance dwelling policy must be maintained to meet these requirements.

CONVENTIONAL CONDOMINIUMS

There are several methods to comply with the flood insurance requirements for Condominiums.
The Association should carry flood insurance on a Residential Condominium Building Association Policy form for the project with attached units if any units are located in a SFHA. Coverage under the policy must be equal to the lesser of:

- The maximum available of $250,000 per unit. To determine the coverage per unit, it is acceptable to divide the amount of coverage by the number of units listed on the flood insurance policy. If this results in coverage equal to $250,000 per unit, the policy is acceptable.

- 80% of the replacement cost for the subject building as determined by the insurance provider.

In addition, if the coverage provided under the master policy is less than $250,000 per unit, the unpaid principal balance or 100% replacement cost, the borrower must provide a supplemental unit owners policy. A flood endorsement to a walls-in HO-6 insurance policy is not acceptable. The total flood coverage for the unit must meet the 1 to 4-Family Property requirements listed below:

- The maximum insurance available from the NFIP, which is currently $250,000 per dwelling;
- The unpaid principal balance (UPB) of all Flagstar loans plus all superior liens on the property; or
- 100% replacement cost of the insurable value of the improvements.

Any attached condo projects (except VA) without a master policy or if the master policy does not meet the requirements of the investor the loan is ineligible for purchase by Flagstar Bank.

Example: Assume the master policy does not cover 100% replacement. If the master policy divided by the number of units on the policy equals $200,000 and the UPB is $225,000, the borrower would be required to obtain a supplemental flood insurance policy for at least $25,000 for a total coverage of UPB.

Condominium flood policies with co-insurance must include an agreed amount endorsement or agreed value option. If an agreed amount value provision is used, the agreed amount must be no less than the estimated replacement cost.

Commercial, All-Risk and Excess flood insurance policies are not acceptable. For Fannie Mae only, if the commercial space in an attached condo is over 25%, coverage provided by a General Property Form is insufficient. A private policy will need to be maintained by the HOA or a private policy in conjunction with a

General Property Form policy to equate the coverage requirements for projects eligible for a Residential Condominium Building Association Policy.

For attached condos, if the HOA held master policy does not carry acceptable or sufficient coverage to meet the minimum requirements above, a unit owner policy cannot be used to remedy the project-level insurance deficiency.

FREDDIE MAC and FANNIE MAE 2-4 CONDOMINIUM PROJECTS

If the HOA does not carry a master flood insurance policy, the borrower can purchase an individual policy if the condominium master documents require a borrower paid policy.

Coverage for site (detached) condominiums is calculated under guidance for the 1 to 4-Family Properties described above.

FHA CONDOMINIUMS

The Association must carry flood insurance on a Residential Condominium Building Association Policy form for the project with attached units if any units are located in a SHFA. Coverage under the policy must be equal to the lesser of:

- The maximum available of $250,000 per unit. To determine the coverage per unit, it is acceptable to divide the amount of coverage by the number of units listed on the flood insurance policy. If this results in coverage equal to $250,000 per unit, the policy is acceptable.
- 100% of the replacement cost as determined by the insurance provider.

Commercial, All-Risk and Excess flood insurance policies are not acceptable.

For attached condos, if the HOA held master policy does not carry acceptable or sufficient coverage to meet the minimum requirements above, a unit owner policy cannot be used to remedy the project-level insurance deficiency.

Site (detached) condominiums fall under calculation guidance for 1 to 4-Family Properties described above.

VA CONDOMINIUMS

The Association should carry flood insurance on a Residential Condominium Building Association Policy form for the project with attached units if any units are located in a SHFA. Coverage under the policy must be equal to the lesser of:

- The maximum available of $250,000 per unit. To determine the coverage per unit, it is acceptable to divide the amount of coverage by the number of units listed on the flood insurance policy. If this results in coverage equal to $250,000 per unit, the policy is acceptable. If it is less than $250,000 it is not acceptable, or
- The unpaid principal balance (UPB) of all Flagstar loans plus all superior liens on the property;
- 100% of the replacement cost as determined by the insurance provider.

Commercial, All-Risk and Excess flood insurance policies are not acceptable.

If the project does not carry sufficient coverage, the borrower may obtain coverage in lieu of HOA coverage to meet the 1-4 Family Property coverage requirements.

COOPERATIVE – CONVENTIONAL ONLY

The Co-op Corporation must have a separate flood insurance policy with coverage equal to or greater than $500,000 for each building. To qualify for a residential flood insurance policy, 75% of the area in the co-op building must be used for residential purposes. If this condition is met, NFIP flood coverage is limited to $500,000 for the building. The NFIP does not issue a Dwelling Form policy to unit owners in a cooperative.

MANUFACTURED (MOBILE) HOUSING

To be eligible for coverage under the NFIP, a manufactured (mobile) home must be on a permanent foundation and must meet specific anchoring requirements for its location. A manufactured home is a structure built on a permanent chassis, transported to the site in one or more sections, and affixed to a permanent foundation.

Combined homeowner/mobile home policies that include flood under one policy must meet the definition of private flood insurance 42 USC 4012a(b)(7) and the corresponding regulation to be accepted in lieu of a separate flood insurance policy.

Coverage for manufactured (mobile) housing is calculated under guidance for the 1 to 4-Family Properties described above.

MULTIPLE BUILDINGS ON ONE PARCEL

More than one flood policy may be required depending upon the number and type of buildings on the parcel. Coverage requirements for detached residential buildings on one parcel, detached non-residential buildings on one parcel and detached garages are as follows:

MULTIPLE RESIDENTIAL BUILDINGS ON ONE PARCEL

If the property secured by the mortgage has multiple residential buildings in the SFHA, per FEMA, a separate flood insurance policy must be provided for each residential building. Please refer to the 1 to 4-Family property section for coverage requirements.

DETACHED GARAGE

If the property securing the mortgage has a detached garage, a separate policy is not required if the garage is not being used for residential, business or farming purposes and the dwelling has a sufficient flood insurance policy. The policy will not notate the additional coverage of the detached garage. If only the detached garage is located in a SFHA, a separate flood insurance policy must be provided. Please refer to the 1 to 4-Family property section for coverage requirements.

FHA AND VA

MULTIPLE DETACHED NON-RESIDENTIAL BUILDINGS ON ONE PARCEL

Flood insurance is required if any building with two or more outside walls, a fully secured roof and is permanently affixed serving as security for the loan is located in a Special Flood Hazard Area (SFHA). This includes any detached building that is part of the security instrument

- VA - Flood insurance is required on the detached building if value is given on the appraisal.
- FHA - Flood insurance is required on the detached building if value is given on the appraisal.

CONVENTIONAL AND JUMBO LOANS

MULTIPLE DETACHED NON-RESIDENTIAL BUILDINGS ON ONE PARCEL

Flood insurance is not required for conventional and jumbo loans for detached structures that are not residential.

HELOC

If the property securing the HELOC is located in a SFHA, flood insurance is required.
To determine the amount of coverage required, generally refer to the 1 to 4-Family Property coverage requirements. However, when determining the unpaid principal balance (UPB) of the mortgage, one must ensure that they add the UPB of all superior mortgages to the total line of credit available under the HELOC to determine UPB for the purpose of flood insurance coverage.

CONSTRUCTION LOANS

For construction loans, a policy declarations page is required. The minimum amount of required flood insurance may be calculated as the lesser of the three options listed below:

- The maximum insurance available from the NFIP (as defined above);
- The unpaid principal balance (UPB) of all Flagstar loans plus all superior liens on the property;
- 100% of the replacement cost of the insurable value of the improvements (defined as the construction cost).

Please see document 4602 Hazard Insurance for mortgagee clause.

1. **A loan secured by a building or mobile home that is located or to be located in a special flood hazard area in which flood insurance is available under the Act.**
2. **A walled and roofed building, other than a gas or liquid storage tank, that is principally above ground and affixed to a permanent site and a walled and roofed building while in the course of construction, alteration, or repair.**
3. **A building (transportable in one or more sections) that is built on a permanent chassis and designed for use with or without a permanent foundation when attached to the required utilities. The term mobile home does not include a recreational vehicle. For purposes of this part, the term mobile home means a mobile home on a permanent foundation. The term mobile home includes a manufactured home as that term is used in the NFIP. Flagstar Bank will not finance a manufactured home without a permanent foundation.**
4. **Compliance Aid: "This policy meets the definition of private flood insurance contained in 42 USC 4012a(b)(7) and the corresponding regulation".**